

awaiting for private players to jump-in.”

Even our own experience with MTNL seemed to invoke the very same sentiments shared by Vathanan. We would like the Quality of Service to improve drastically, or at least be offered better services by other providers that are waiting to make an entry in this vast market.

The whole nation is watching over this one sector that eased our fiscal deficit by the revenue it generated earlier in the year. It should have been an out-of-this-world experience with video calling and video streaming. We began using 3G services with enthusiasm that was soon washed away as we got used to the technology. We tried asking operators about their plans and

THE FUTURE?

Around the end of 2009, Sweden's Telia-Sonera implemented 4G networks in Oslo and Stockholm. With current GSM networks, you can download at a maximum of 236.8 kbps. Migrating to 3G, you'd get a boost to a maximum of 2 Mbps. With 4G, it's a mammoth 100 Mbps on your device. That's close to a ten-fold increase than your best mobile experience ever

tariffs. Surprisingly, 3G announcements were not on their priority. If you'd take a closer look at all developments in the 3G space, it's primarily the same old story – the most you'll get to hear is bragging about winning licences in x,y, z circles across India.

So far, DoCoMo is the only operator that has gone ahead, launched its

services and also announced tariffs that will follow a pay-per-use model. The rest of them seem to be waiting and gauging the market before commenting or even making announcements. They better be worried for once, so that we as consumers could benefit in the long run. There were other events, or plans that seemed far more important. Seems like they're all apprehensive about your reaction to their pricing and it turns out that all operators are following a wait and watch policy. Certainly, if you are one of those that don't mind opting for an operator that doesn't let you connect to customer care when you need it the most (and if you get through to someone who can't really answer your queries) then MTNL is your safe bet. 

We spoke to DPS Seth, Member, Telecom Regulatory Authority of India (TRAI) to get a feel of what lies ahead with all the hype surrounding 3G

Q. Tell us about number portability. Will it be a game changer with customers switching operators to get better 3G deals?

A. The general trend the world over is that when you introduce number portability, there is usually a lot of enthusiasm and substantial shift, which later settles down. When that is happening there has to be something which will promote the desire in the heart of the consumer to change. The change itself can also be something that makes the subscriber unhappy about the quality of service. On this front, all operators are in poor shape and on equal footing.

You can expect users to go in for 3G services because these networks will be relatively new networks that are recently installed and will not be congested. Also in order to use 3G services, subscribers will have to procure newer handsets. High-end customers will definitely migrate to 3G, resulting in higher average revenue per user (ARPU). This is something even operators would want, so that they can create some space in the 2G network – enabling them to add more customers or ensure better quality of service.

Q. What kind of 3G tariffs do you expect?

A. I do not expect 3G tariffs to be more

than the existing 2G tariffs, for the simple reason that at least for the next couple of years, the traffic on existing 3G networks will essentially be voice traffic. As data applications develop, only then will the add-on data charges really contribute towards the ARPU for 3G, over and above the voice contributing component. Essentially, if it's going to be voice-based traffic, tariffs can't be higher than 2G. Otherwise there won't be any incentive for anyone to go in for 3G services. In fact, we have a parallel in the UK. An English telecom operator had begun 3G services with tariffs lower than existing 2G tariffs to popularise 3G services.

Q. Practically, how long do you think it would take for a pan-India implementation of 3G services?

A. The telecom sector is a highly capital-intensive sector. Therefore, operators need to generate revenues and in turn invest capital in further geographical expansions. At least for the next couple of years, operators would be busy with the implementation of 3G across states. But, there needs to be some incentive for widespread adoption of 3G, especially in rural areas because there is a dearth of disposable income available for spending on telecom.

Q. Have we taken long to switch to 3G? On a global scale, how would you place India as far as 3G is concerned?

A. “Have we taken long enough” is an understatement. The transition should have happened long ago. We should have migrated to 3G at least four to five years ago.

Q. Several other countries are now moving beyond 3G, by upgrading the data component to HSPA+. Where do you see India going forward? How long do you think India would stay with 3G before moving on to LTE or 4G?

A. It is really not a question of one or the other. The general thinking now is that 3G and LTE will be complementing each other. Both technologies are good for certain purposes. First of all, LTE is not 4G. It is rather 3G+ or 4G- (anything but 4G). The trend is moving towards IP capabilities with focus on data networks. While HSPA networks are optimised for voice, LTE networks are more suitable for data. Unless, there are reasons for users to use exceptionally large bandwidths, there is still a long way to go. What we would eventually witness is a scenario where 3G would handle the voice segment while LTE would handle the data segment. There could really be a harmony or sorts.